

THE DYNAMIC NATURE OF BUSINESS

WHY new business ideas come about?

- Advances in technology
 - Link here to **SOCIAL MEDIA**, **M-COMMERCE** and **E-COMMERCE**
- Changes in consumer wants and needs
- Products and Services becoming **OBSOLETE**

HOW new business ideas come about?

- Adapting an existing product or service to keep up with trends through:
 - New product or service
 - New promotion
 - New brand name
 - New versions of same product e.g. different flavours or colours
- Create a completely original product or service
- Consider the costs of both these options as well as likelihood of them succeeding

THE ROLE OF BUSINESS ENTERPRISE

“Business Enterprise is the Entrepreneurial activity undertaken by Entrepreneurs”

THE PURPOSE OF BUSINESS ACTIVITY

- TO PRODUCE GOODS OR SERVICES
- TO MEET CUSTOMER NEEDS
- TO ADD VALUE - The ways a business can **ADD VALUE** are:
 - **BRANDING** – Link here to customer loyalty
 - **CONVENIENCE** – Link here to customer service, methods of payment and opening hours
 - **QUALITY AND DESIGN**
 - **USP** – Can be through; Price, Quality, Being the first to the market

THE IMPORTANCE OF ADDING VALUE NEEDS TO BE CONSIDERED!

RISK AND REWARD

RISK WHEN STARTING UP:

- **BUSINESS FAILURE**
 - Link here to poor **CASHFLOW**, low customer numbers, not enough money to pay bills
 - Also, poor **SALES REVENUE** due to: **RECESSION**, behaviour of **SUPPLIERS**, **COMPETITION**
- **FINANCIAL LOSS**
 - Link here to Competitive Risks, Technical Risks, Financial Risks
- **LACK OF SECURITY**

REWARDS WHEN STARTING UP

- BUSINESS SUCCESS
- PROFIT
- INDEPENDENCE

KEY TERM LINK HERE: **INTUITION** of an Entrepreneur

THEME 1 TOPIC 1

ENTERPRISE AND ENTREPRENEURSHIP

THE ROLE OF ENTREPRENEURSHIP

“An Entrepreneur is a person who owns and runs their own business”

THEIR ROLE AND SKILLS:

- **ORGANISE RESOURCES**
- **MAKING BUSINESS DECISIONS**
- **TAKE RISKS**
- **WILLINGNESS TO UNDERTAKE A NEW VENTURE**
- **SHOWING INITIATIVE**

ENTREPRENEURS benefit the **ECONOMY** through:

- Creating products and services to meet people's needs
- Creating jobs
- Paying **TAX** to the Government
- **EXPORTING** goods abroad